

Craig Horton Advisory

The Transformation Brief

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This week

The EU gave us 16 more months, what are you **going to do?**

The EU AI Act high-risk deadline moves to 2 December 2027, so the date has moved, does your transformation stop?

By Craig Horton, AI Transformation Advisor

The EU just gave 16 more months, so **what do you do?**

The EU AI Act high risk deadline has moved, with stand-alone high-risk systems now expected to apply from 2 December 2027, and high risk AI built into regulated products expected from 2 August 2028.

This triggers a question: can your compliance programme slow down?

For me, the answer is most definitely no, because although the date has been pushed out, your transformation still continues.

Agents are still screening candidates, shaping performance decisions, supporting promotion reviews and recommending who gets seen by a human, the risk is already in the operating model, even if the date / fine has been pushed further away.

We used to call this restructuring, reengineering or turnaround, now the name is AI, but the work underneath is still the same, who decides, who owns the outcome, who checks the evidence, who has the authority to stop it, and who carries the consequence when the system gets it wrong.

From my office

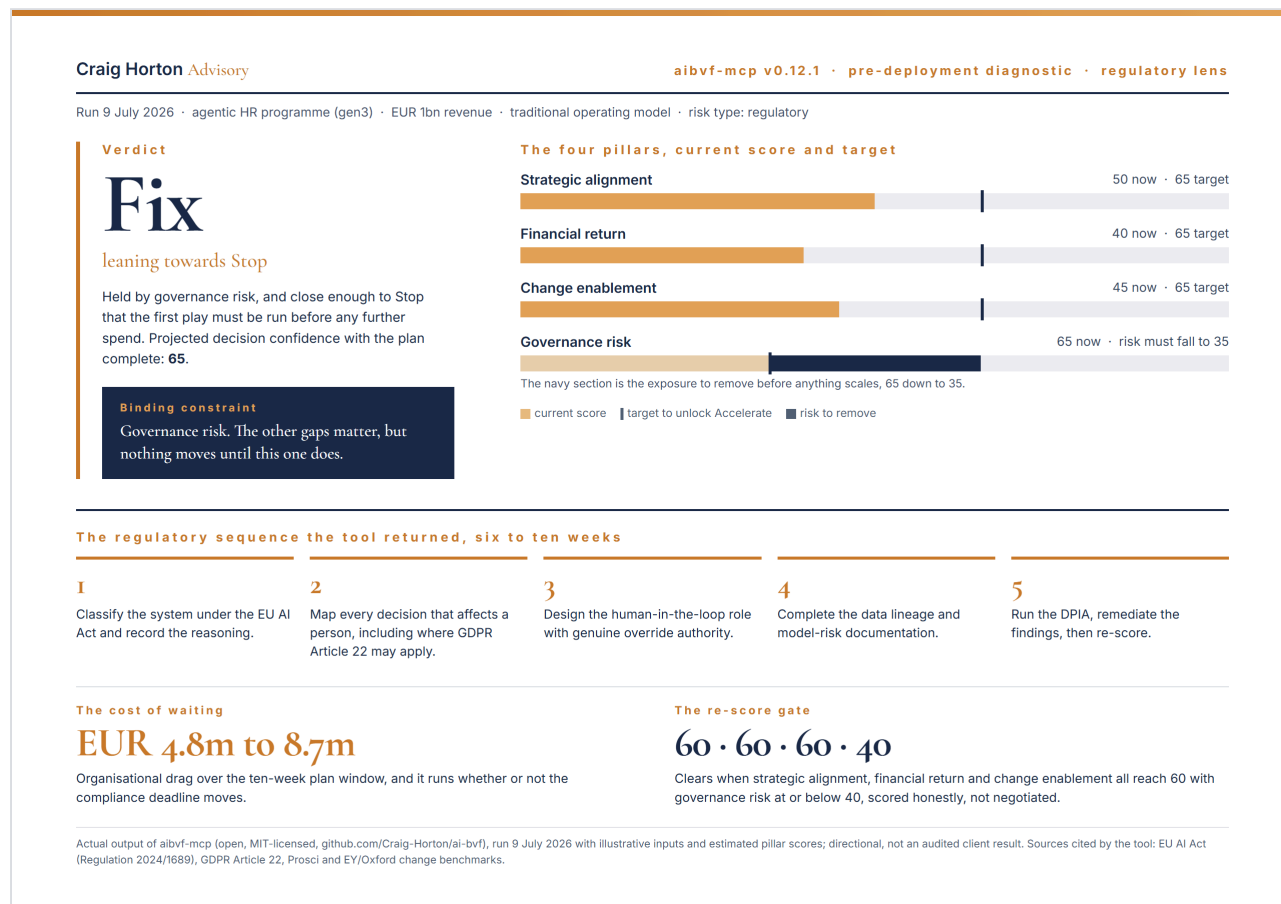
This week the same agentic HR initiative from issue 13 went back through the AI BVF, this time with the regulatory lens on.

It came back as Fix, leaning towards Stop, held by governance risk, because nothing else should move until this was fixed.

The plan it returned was a pre-deployment sequence:

- Classify the system under the EU AI Act
- Map every decision that affects a person, including where GDPR Article 22 may apply
- Design the human-in-the-loop role with genuine override authority
- Complete the data lineage and model-risk documentation
- Run the DPIA, remediate the findings, then re-score

The AI BVF also calculated your waiting time, roughly EUR 5m to EUR 9m of organisational drag over a 10 week plan window, and that cost still applies even with the deadline pushed out.



The AI BVF regulatory readout from this run, the verdict, the four pillars against their targets, the binding constraint, the pre-deployment sequence, the cost of waiting and the re-score gate.

Once again, the platform is open on the MCP registry as aibvf-mcp version 0.12.1, at github.com/Craig-Horton/ai-bvf.

On the radar

- Microsoft is cutting around 4,800 roles as it restructures around its AI investments, with its Chief People Officer saying the eliminated roles are not being replaced by AI, while also saying AI is changing how work gets done.
- Databricks has pushed further into production agents with Genie One, Genie Agents and cost controls around governed enterprise data, context, permissions and usage, which is where this market is heading, why? because without trusted context and cost discipline, just means another way to make your mess move quicker.
- The Economist Enterprise report supported by Databricks says the same thing from another slant, AI is everywhere, but scale is slower than the headlines, value is harder to prove than the business case, and the operating model and culture underneath the technology are where this all breaks.

Against the grain

An answer is: "we have a human in the loop".

But this is only useful if there is a human, that has real authority, a clear script for when to use it, enough evidence to challenge your AI, and a name a regulator can ask for.

A human holding the pen at the end of a process does not make the process safe if every meaningful choice has already been shaped by your agentic system.

So 16 more months to comply does not mean 16 more months before agents make employment decisions, because they are making them today, in screens, scores, summaries, rankings and recommendations, and that changes what we have to approve.

The reframe question

If the fine is 16 months away, but your agent screens a candidate this afternoon, who owns that decision today? And if no one can be named, what exactly has the delay bought you?

Once again, I appreciate your interest and time to read this brief, and as always, look forward to your feedback and comments. Enjoy your weekend. Craig

Sources

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- Microsoft, the latest in our company transformation, 6 July 2026 (blogs.microsoft.com); Fox Business
- Databricks, Genie One and Genie Agents, newsroom, 16 June 2026 (databricks.com)
- Economist Enterprise, Making AI deliver, supported by Databricks, 2026 (databricks.com/resources/analyst-research/making-ai-deliver)
- AI BVF regulatory diagnostic, run 9 July 2026, aibvf-mcp version 0.12.1, github.com/Craig-Horton/ai-bvf